

Theory 1 Changelog

This file tracks successive revisions of Theory 1 (“Structural share loss”) as new evidence is reviewed. Each entry is dated and states whether the revision is materially different from prior versions.

2026-07-24 — Revision 1 (post-validation)

Context: First revision, following a validation pass against available evidence (see `work_products/issue1/theory1_validation.md` for full reasoning). No prior version of Theory 1 exists in this file, so this is the baseline entry.

Theory 1 (updated): Bounded structural share loss — genuine demand-side erosion, but from a position of continued dominance

What changed from the original Theory 1: The original thesis framed the Americas decline as primarily demand-side brand fatigue/share loss, largely on the strength of qualitative management commentary (CFO Meghan Frank’s “negative commentary in the media” remarks) and one sell-side downgrade (Truist). Validation against subsequently-reviewed third-party data (`work_products/issue1/theory1_validation.md`) both **strengthens** and **bounds** that diagnosis:

- **Strengthened:** Independent, non-company-sourced evidence now supports a genuine demand-side component, not just a supply-side/assortment problem. A PassBy foot-traffic report (April 2026) shows lululemon’s category foot-traffic share fell 9 points (86.5% → 77.5%) while Alo Yoga’s share more than quintupled and Vuori held steady — a sharper and more recent erosion than the 2024 Earnest Analytics wallet-share data used originally. A January 2026 consumer survey shows net brand favorability falling from +62 (2023) to +49 (early 2026) on “premium fatigue,” and Piper Sandler teen-survey data shows lululemon dethroned from its #1 teen-footwear-brand spot (held since 2018) as Alo/Vuori jump in rankings. Most importantly, a Jefferies note dated July 8, 2026 found consumer purchase-consideration metrics *still weakening month-over-month* even as the firm’s own store checks found the merchandising/assortment genuinely improving — direct evidence that the problem does not resolve simply by fixing inventory and SKU density (Theory 2’s mechanism), which is the central empirical distinction Theory 1 depends on.
- **Bounded:** The same foot-traffic data that shows share loss also shows lululemon retaining a >8x lead over both Alo Yoga and Vuori combined; gross margin, while compressed by tariffs and markdowns, remains structurally well above Nike/Adidas/Under Armour’s apparel margins even in the worst quarter (Q1 FY2026: 54.2%). This is inconsistent with the most severe reading of the original Theory 1 (wholesale brand rejection) and more consistent with a dominant incumbent bleeding share at the margin to two much smaller, faster-growing challengers. A credible methodological counter-read (the Seapoint analysis) also shows that part of the Americas deceleration mechanically reflects store-base maturity (older stores lapping high-growth years) rather than pure brand deterioration, though this pre-dates and does not fully explain the sharper April–June 2026 acceleration in share loss and consumer-sentiment weakening.
- **Timeline evidence added:** Peer turnaround base rates (Abercrombie & Fitch, Old Navy/Gap, American Eagle, Chico’s FAS, Under Armour) show that no comparable apparel turnaround has durably inflected within 2–4 quarters of a leadership change; most took

2–6 years, and Under Armour never durably inflected across three CEOs and roughly eight years. This makes Theory 2’s “2–4 quarter” recovery window unlikely regardless of which underlying diagnosis (Theory 1 vs. Theory 2) is correct, and shifts probability mass toward Theory 1 and Theory 3 on the *timeline* question even where the *magnitude/mechanism* question remains genuinely contested.

Updated thesis statement: The Americas decline has a real, evidenced, demand-side component — measurable share loss to Alo Yoga and Vuori, and independently-surveyed brand-sentiment erosion that persists even as management’s assortment/inventory fixes appear (per July 2026 Jefferies channel checks) to be genuinely taking hold operationally. This is not merely an inventory-cycle problem, and a clean 2–4 quarter inflection (Theory 2) is unlikely on both the demand evidence and on apparel-turnaround peer base rates. However, the share loss is occurring from a position of continued lululemon dominance (>8x the foot traffic and wallet share of either challenger) and alongside still-premium gross margins, which argues against the theory’s most severe form (comps deteriorating without bound through FY2027–FY2028) and toward a bounded, multi-year erosion that plausibly stabilizes — likely blending into Theory 3’s “stabilize at a structurally lower base” outcome rather than continuing to worsen indefinitely.

Is this materially different from another theory in this file? Yes, from the original Theory 1, in the two ways described above (strengthened demand-side evidence; bounded magnitude/durability). It is not identical to Theory 3 either: Theory 3 attributes the lower steady-state base primarily to *market maturation* (a structural, roughly brand-neutral ceiling on North American premium athleisure), whereas this updated Theory 1 attributes it primarily to *competitive share transfer* to Alo Yoga/Vuori/NikeSKIMS — a mechanism that, in principle, is more within management’s control (via product/brand execution) than a maturing total addressable market would be. The practical difference matters for the valuation call: if the updated Theory 1 mechanism is correct, a sufficiently strong CEO/product turnaround (Heidi O’Neill) could still claw back share from smaller challengers; if Theory 3’s market-maturation mechanism dominates, no plausible management action recovers the lost growth. The evidence reviewed here does not cleanly separate these two mechanisms, which is why this updated Theory 1 is presented as a distinct, narrower version of the original rather than folded fully into Theory 3.

Probability assessment: See `work_products/issue1/theory1_validation.md` — Probability of the original Theory 1 (as stated in `theories.md`) being correct: 35%.